

Optimizing Conversion Rates

Through Funnel Analysis

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Etsy

Executive Summary

Etsy, a leading online marketplace renowned for its unique and handmade products, faces a pressing challenge with a 90% cart abandonment rate. This high rate signals inefficiencies in converting users from browsing to purchase completion, impacting revenue generation and customer satisfaction.

To address this, the project focuses on optimizing the customer journey by conducting a detailed funnel analysis to identify key bottlenecks in the checkout and payment processes. Short-term strategies aim to increase the conversion rate by 5% in Q1 2023 through targeted interventions, such as:

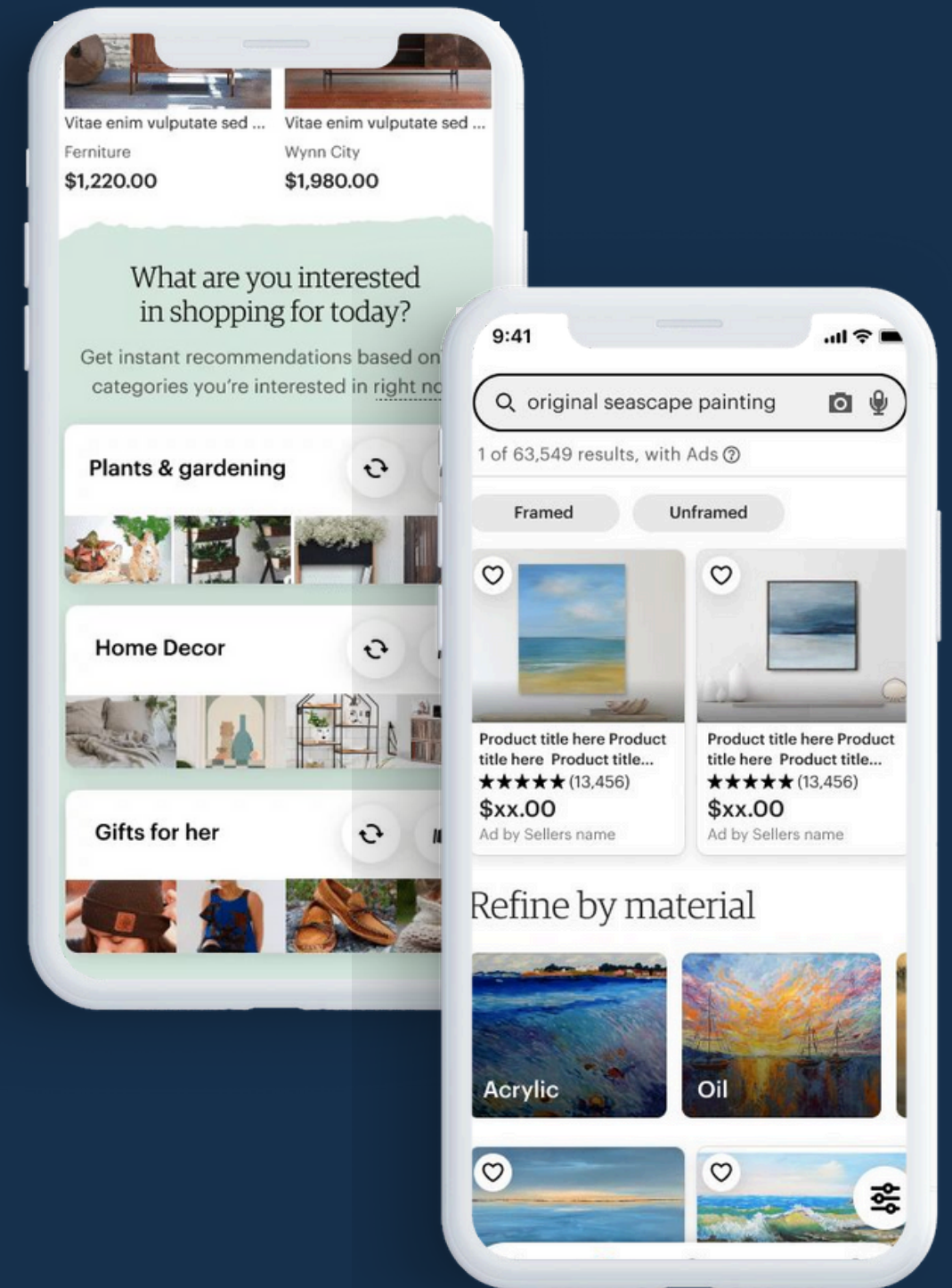
- 1. Leveraging Virtual Account Popularity:** Highlighting this payment method on the checkout page and providing clear instructions to enhance usability and trust.
- 2. Improving Alternative Payment Methods:** Simplifying Paylater and Biller Services and addressing user concerns with transparent FAQs and streamlined interfaces.
- 3. Addressing Cart Abandonment Factors:** Improving visibility of shipping information, eliminating hidden fees, and enhancing transparency throughout the checkout process.

In the long term, this initiative lays the foundation for sustained growth by refining Etsy's e-commerce experience and building customer trust. These measures aim to drive higher conversion rates, improve user satisfaction, and unlock additional revenue opportunities.

About Company

Etsy is an online marketplace where individual sellers can open their shops and list their items. Founded in 2005, Etsy has grown into a global platform where they have generated billions of revenue (\$2.73 billions in 2023).

Etsy attracts customers who are specifically looking for unique, especially handmade products that they can't find in large retail stores. Popular categories on Etsy include handmade jewelry, clothing and accessories, home decor, digital products (such as printables and digital art), craft supplies, and vintage items that are at least 20 years old.



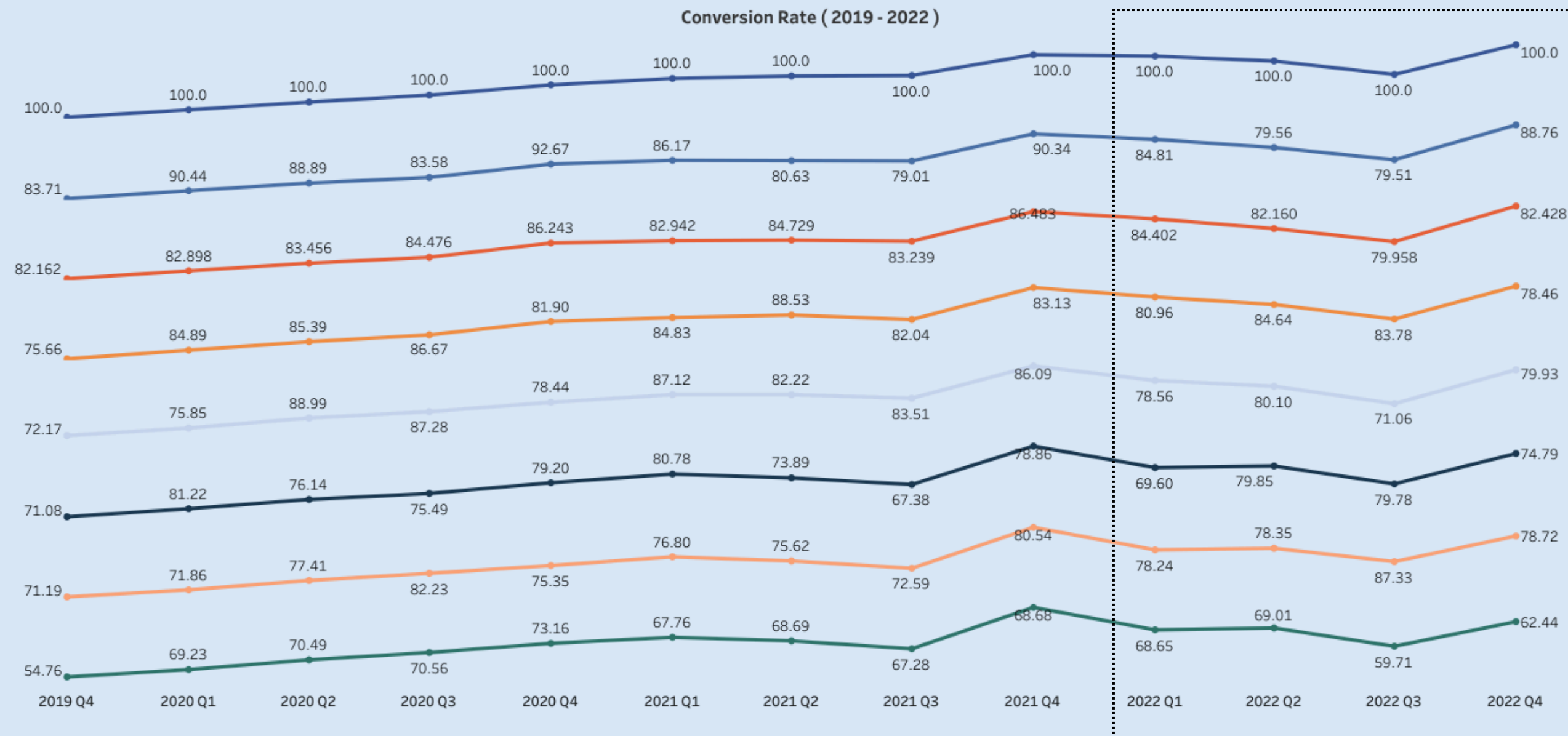
Problem Statment

Etsy faces a significant challenge with a 90% cart abandonment rate, indicating inefficiencies in converting users from browsing to completing purchases. This high abandonment rate negatively impacts both revenue generation and customer satisfaction.

To address this, the objective is to optimize the customer journey by resolving key bottlenecks, particularly in the checkout and payment processes, with the goal of increasing the conversion rate and improving completed purchases by 5% in Q1 2023.



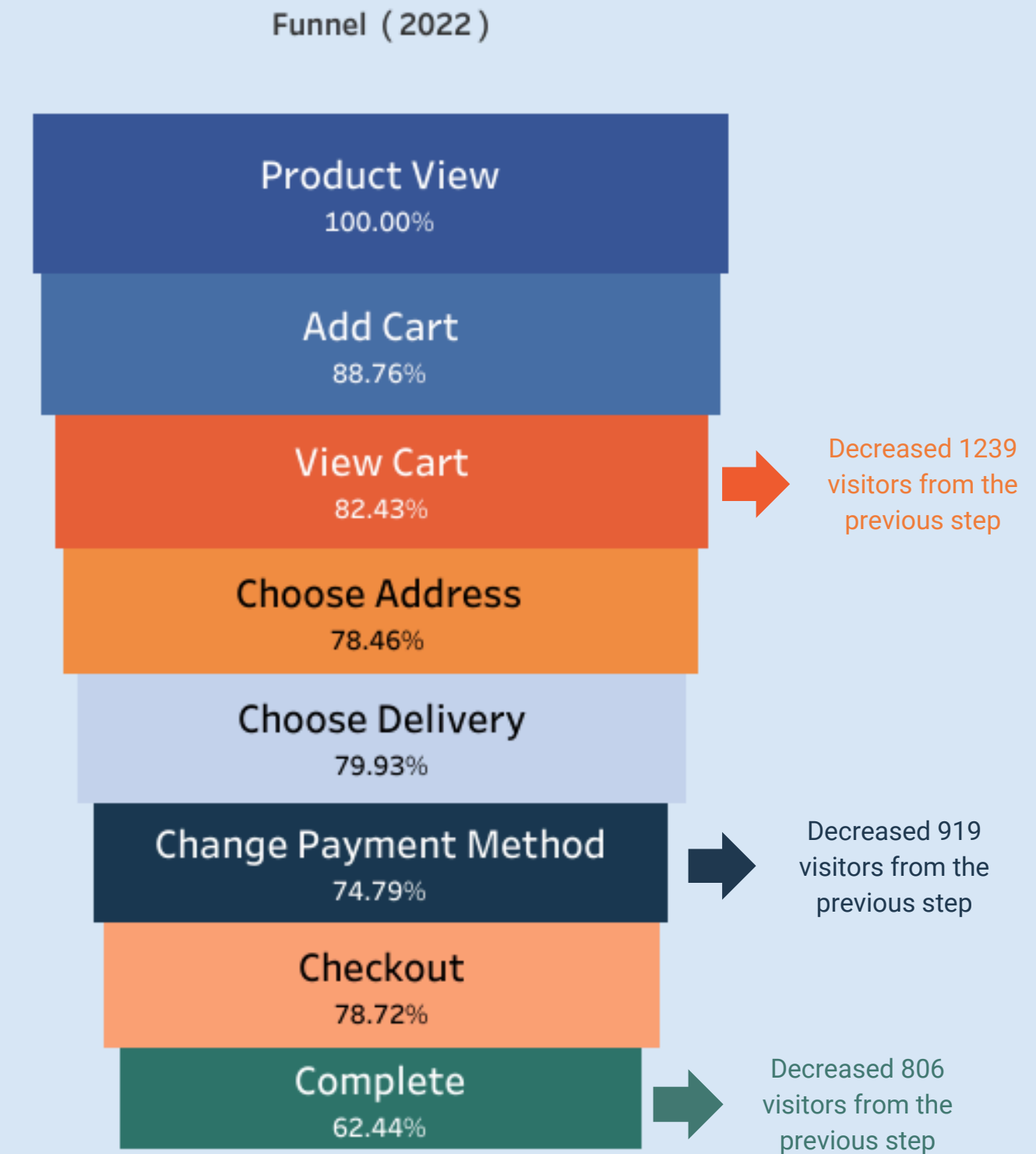
Conversion Rate tends to decrease in Q1-Q4 2022



- The conversion rate and number of visits across the 8 customer journey funnel events showed a declining trend from Q1 to Q4 of 2022.
- A significant drop in conversion rate and visits in the final quarter was observed at step 3 (View Cart), step 6 (Change Payment Method), and step 8 (Complete).

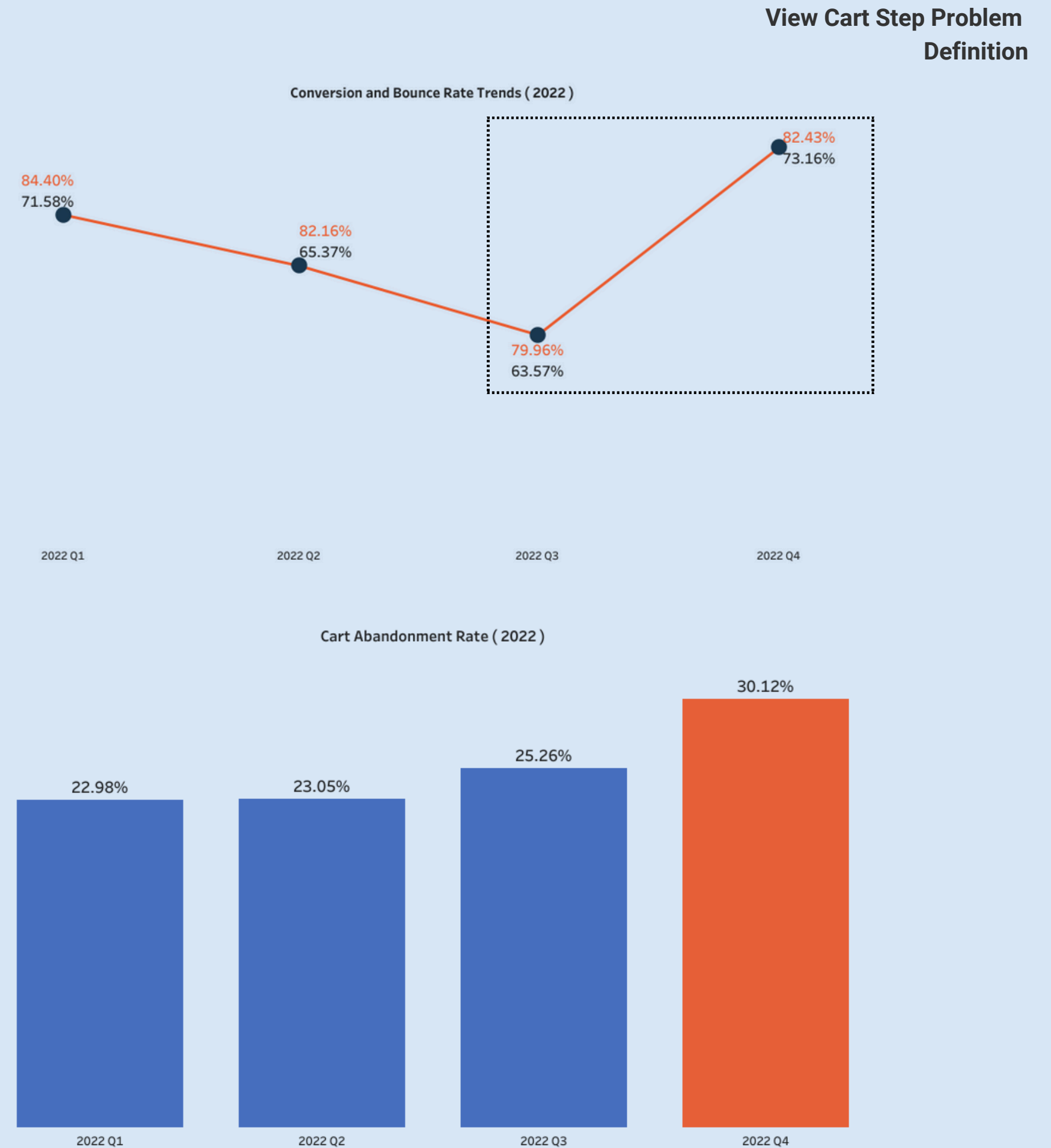
Customer Journey Funnel at Etsy

- The largest drop in visits occurred at the view cart step, with a loss of 1,239 visitors.
- The most significant conversion decrease happened at the complete step, where the rate dropped by 37.56% compared to the previous step.



CR and BR trends increased in 2022 followed by High CAR Growth

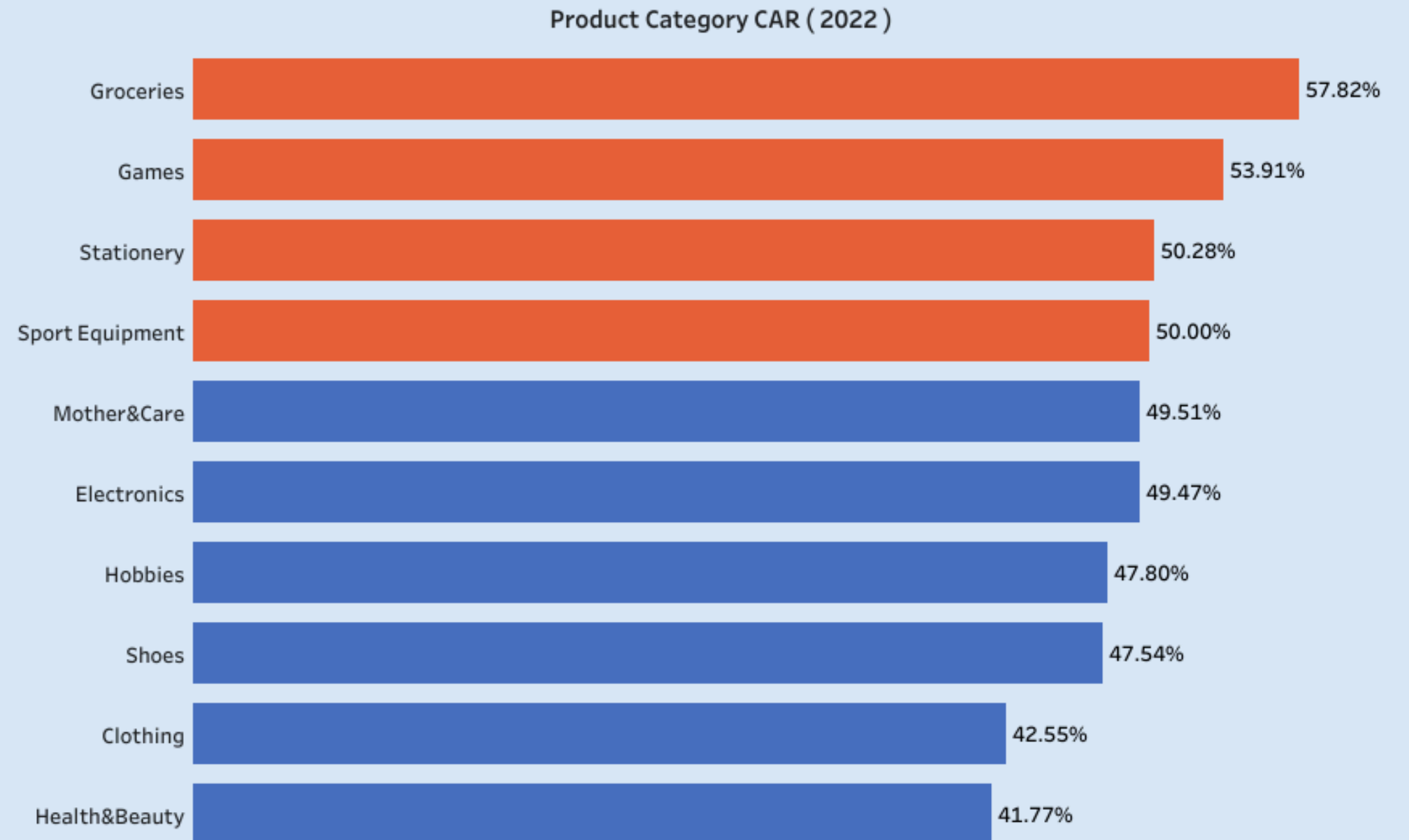
- Conversion rate and bounce rate increased significantly in the last quarter of 2022.
- Cart abandonment rate steadily increased throughout 2022, with a notable rise in the fourth quarter.
- This indicates that many customers added items to their cart but abandoned their purchase after reviewing the cart contents, suggesting possible friction or dissatisfaction during this stage.



Most Categories Have a High Cart Abandonment Rate

- In general, all categories have similar CAR, but in the 5 product categories of groceries, games, stationery, sports equipment have the highest CAR.
- Games, Stationery and Sports Equipment is likely due to concerns about Limited availability of popular products, high prices, or lack of clear sizing or specification information.
- For General Issues Affecting All High CAR, customers might be adding items to carts across categories to compare prices with other stores before completing the purchase elsewhere.

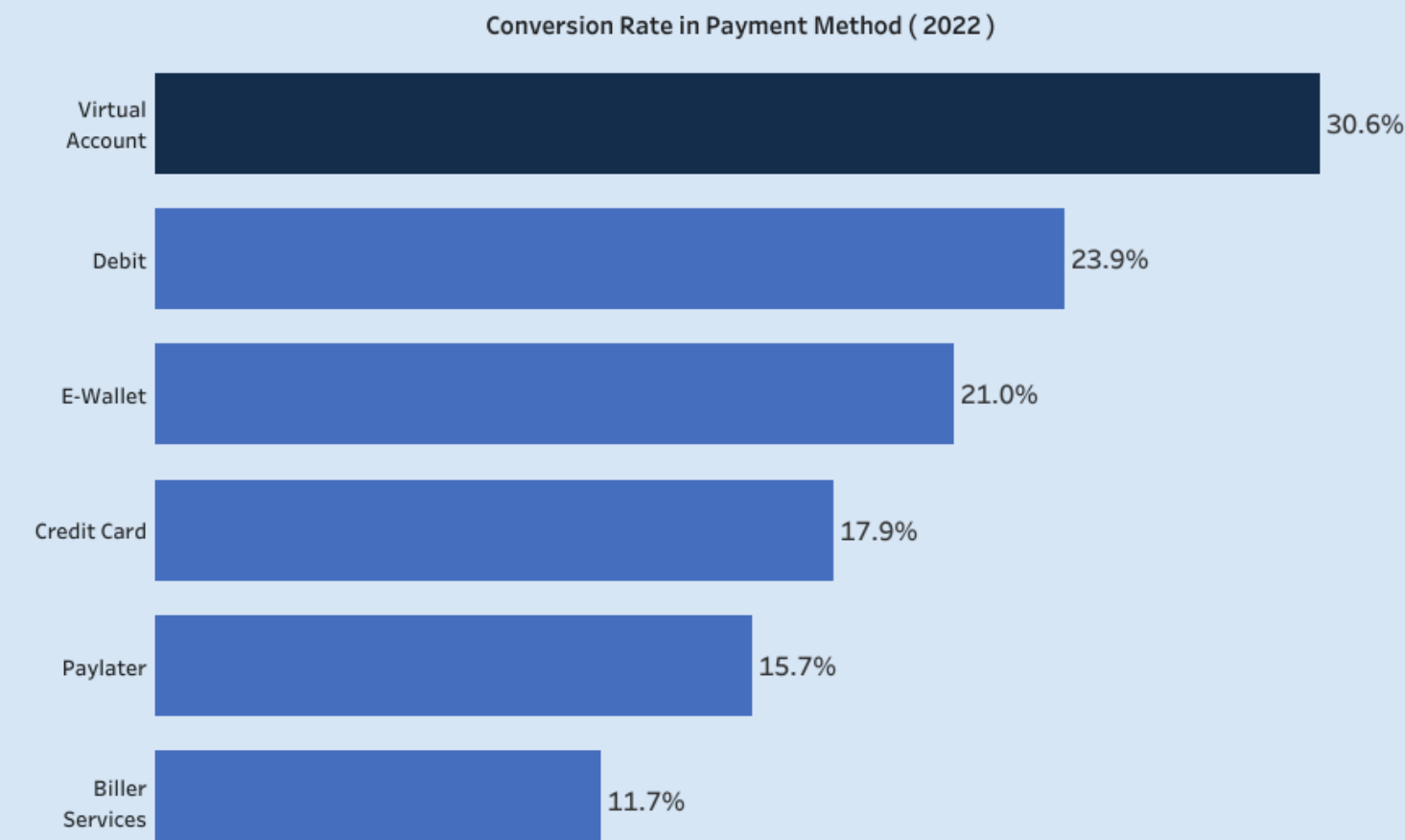
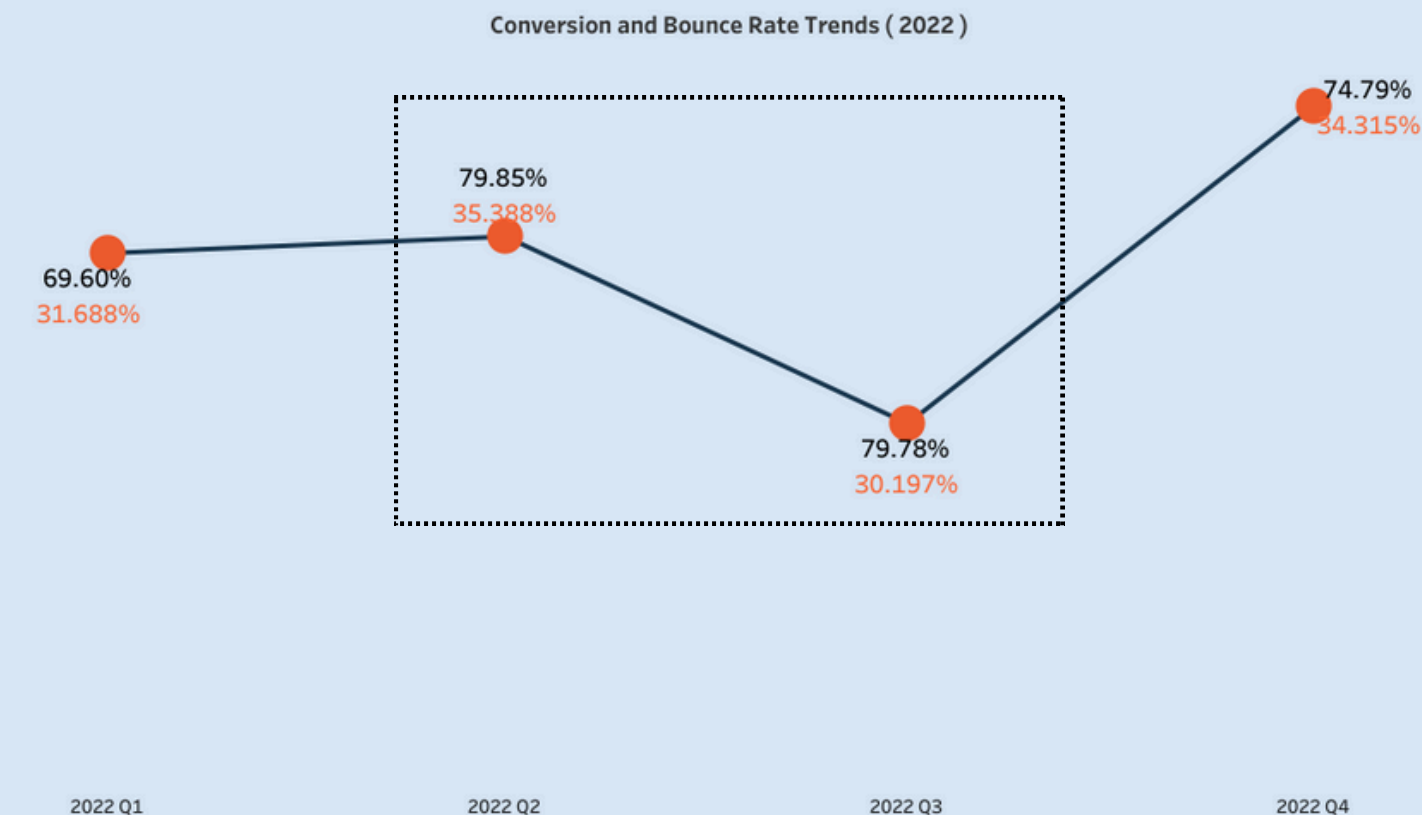
View Cart Step Problem Definition



High Conversion Rate in Payment Method Disparity

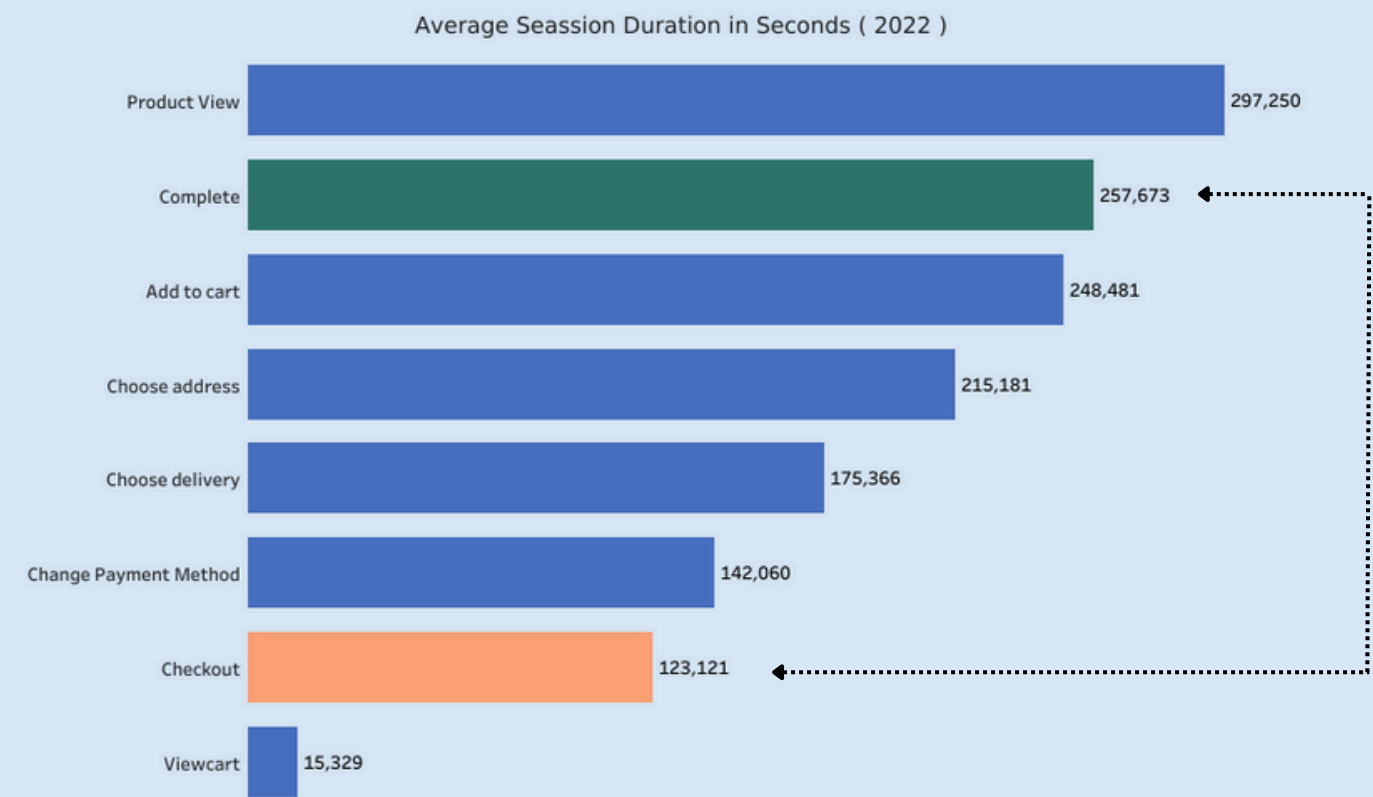
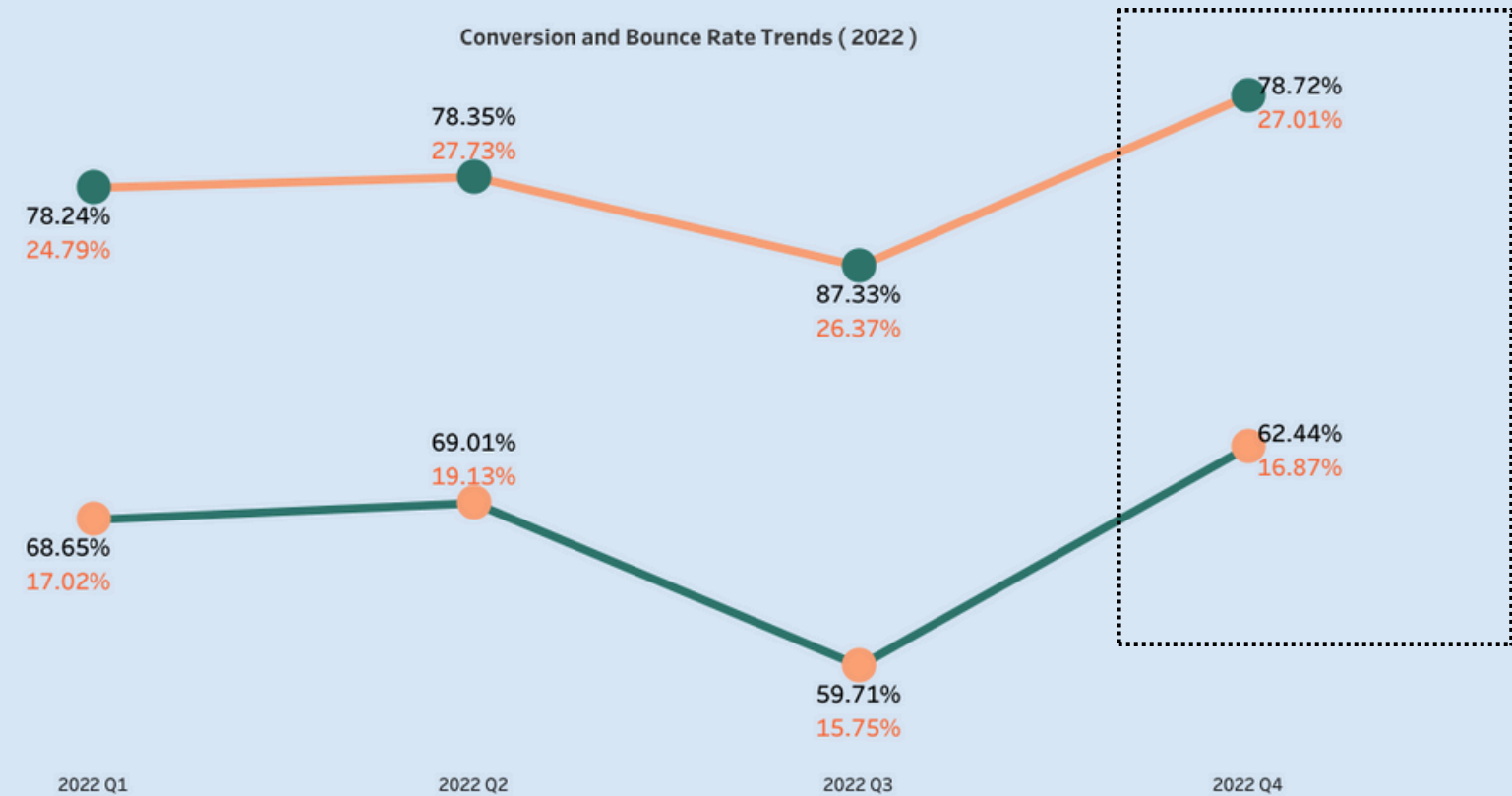
- The trends in conversion rate (CR) and bounce rate (BR) in Q2 to Q3 decreased quite drastically and then increased significantly again in Q4.
- A high conversion rate indicates the majority of customers who reach it successfully complete the purchase and a low BR indicates a considerable number of users leave the funnel at this stage, but there is still room for improvement.
- High CR differences in payment methods indicate different preferences for each payment method, in the Virtual Account method the highest CR indicates customers are more comfortable, more familiar or safer using this method than using other payment methods, especially Biller Services and Paylater.

Change Payment Method Step Problem Definition



Potential Friction in Checkout Step

Complete Step Problem
Definition



- The decrease in the conversion rate (CR) from the checkout step (78.72%) to the completion step (62.44%) indicates that some users abandon their carts during the checkout process.
- The slightly higher bounce rate (BR) at the checkout step (27.01%) compared to the completion step (16.87%) suggests that users may encounter issues earlier in the checkout process, prompting them to leave before completing their purchase.
- .Longer session durations at the completion step compared to the checkout step imply that customers are either thoroughly reviewing their order details before finalizing the purchase or experiencing delays caused by a slow checkout process.

Recommendation

1. Capitalize on Virtual Account Popularity

Virtual Account has the highest conversion rate compared to other payment methods :

- **Highlight Virtual Account:** Prominently display the virtual account option on the payment method selection page. Consider using visuals or a call to action to draw user attention.
- **Provide Clear Information:** Ensure a clear description of the virtual account process is available, including any fees or eligibility requirements. This builds trust and reduces hesitation.

2. Address Concerns About Other Payment Methods

The conversion rate difference between Virtual Account and other payment methods is quite large :

- **Simplify Pay Later and Biller Services:** If possible, streamline the user interface for these payment methods. Ensure clear instructions and avoid unnecessary steps.
- **Offer FAQs or Explanations:** Provide a brief explanation of how Paylater and Biller Services work. Address potential concerns about security, interest rates, or eligibility. Consider offering a link to FAQs for more details.

3. Address Cart Abandonment Reasons

High cart abandonment rates occur at the View Cart step :

- **Clear Shipping Information:** Display estimated delivery times and shipping costs upfront on the view cart page.
- **Hidden Fees Transparency:** Avoid any surprise fees. Ensure all costs are clearly communicated throughout the checkout process, including at the view cart stage.

Thank You

For any questions or further discussion about this project, feel free to connect with me on [LinkedIn](#).